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Asia Economics | Asia Pacific

The Viewpoint: Three Reasons Why Credit Growth is Booming

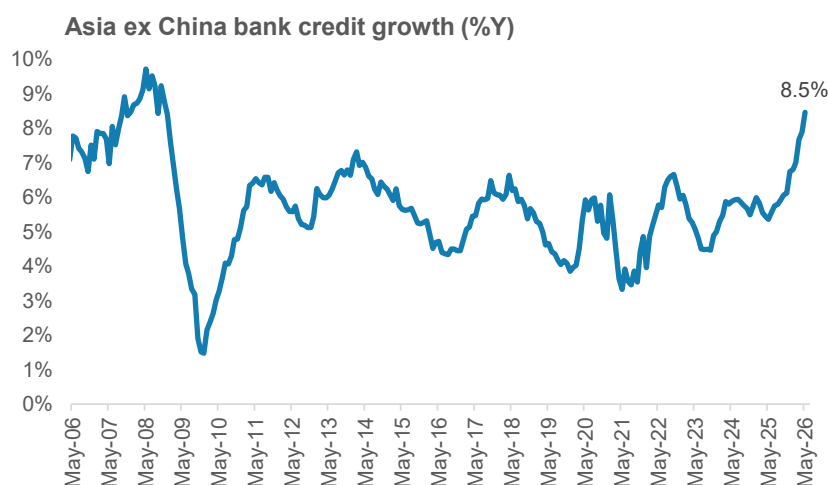
Bank credit growth in Asia ex China has picked up to its strongest in 18 years. Surging capex, booming trade and the rise in PPI inflation explain this acceleration in credit demand. We expect the capex super-cycle to sustain the strength in credit growth.

Key Takeaways

- Asia ex China's credit growth has accelerated to 8.5%Y, the highest in 18 years. Meanwhile China, with its counter-cyclical growth model, is slowing leverage.
- With the region's growth being driven by capex and exports, corporate sector loan growth is the main driver for overall credit growth acceleration.
- PPI inflation and nominal industrial production growth have also risen to the highest levels since the 2000s, adding to corporate credit demand.
- As non-tech capex and non-tech exports are now picking up, improving labour market conditions are lifting household loan growth as well.
- As the capex super-cycle continues, we see Asia ex-China bank credit growth staying strong.

In this report, we delve into which segments and geographies are driving stronger credit growth in Asia ex China.

Exhibit 1: Credit growth in Asia ex China at a 18-year high



Source: CEIC, Haver, Morgan Stanley Research, Note: We calculate the Asia ex China aggregate by weighing it using nominal annual outstanding bank credit in USD terms.

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Details

Bank credit is still the most important source of macro funding by far: In Asia, the banking sector remains one of the most important providers of credit, considering that the corporate bond and private credit markets are not mature yet. In EM Asia economies, bank and non-bank finance companies account for over 60% of the flow of resources to the commercial sector. Outside of internal accruals, the order of sources of macro funding is first loans from banks plus the non-bank finance sector, followed by equity issuance at a distant second, and then an even smaller segment is corporate bond issuance.

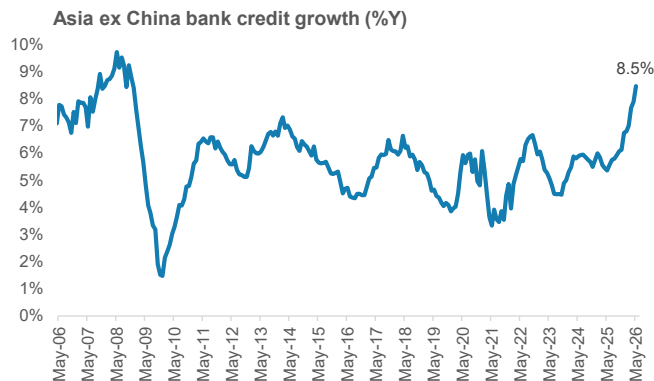
What is driving this strong credit demand?

The strongest credit growth since the 2000s: Asia ex-China nominal credit growth picked up to 8.5%Y in May-26, the highest level in 18 years. On a real basis, deflated by the GDP deflator, credit growth in Asia ex-China has also been rising to 6.3%Y, also an 18-year high. The strength has been broad-based with multiple economies seeing cyclical highs in credit growth.

We see three key drivers underpinning this acceleration:

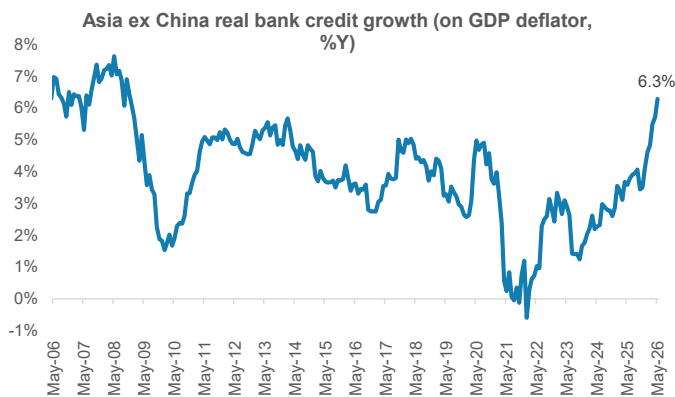
1. **Capex activity and trade are booming – lifting industrial production growth to close to the highs seen last during 2000s:** As we have been highlighting, Asia is entering its strongest industrial cycle since the 2000s. This is underpinned by a sustained, multi-year rise in capex across AI and AI-related digital infrastructure spending, energy, defense and industrial supply chains. Our preferred high frequency indicators to track capex momentum – capital goods imports growth – has continued to accelerate to 33%Y 3MMA in May, the highest since 2004. Export momentum has also continued to broaden from semis exports, as there has been a sustained pickup in capital and intermediate goods as well. Reflecting the strength in exports and capex, Asia's nominal industrial production was also at an 18-year high of 12.5%Y in May.
2. **PPI inflation is increasing demand for working capital:** Asia ex-China PPI inflation has risen to a 4-year high of 9.0%Y, as higher oil and broader commodity prices have pushed up commodity PPI. Higher upstream prices and improving demand conditions have in turn begun to filter through to producer prices in downstream segments. Reflecting this, Asia ex-China non-commodity PPI has also risen to a 3.5-year high of 4.3%. With the pickup in real activity and inflation lifting Asia ex-China's nominal industrial production growth, the price pressures are in turn increasing working capital loan demand across the supply chain and for end-users.
3. **As non-tech capex and exports help job creation, consumer credit demand is also picking up:** We have previously highlighted the limited positive spillover from tech exports to the labour market due to their smaller share in overall exports and their capital-intensive nature. However, as the recovery is broadening out to non-tech capex and exports as well, we are beginning to see an uplift in overall job creation, which is beginning to boost consumption and consumer credit demand. Indeed, as Asia ex China retail sales growth has improved in recent months, household loan growth has also moved higher, though it remains within the historical range.

Exhibit 2: Asia ex China's credit growth has accelerated to 8.5%Y, the highest in 18 years



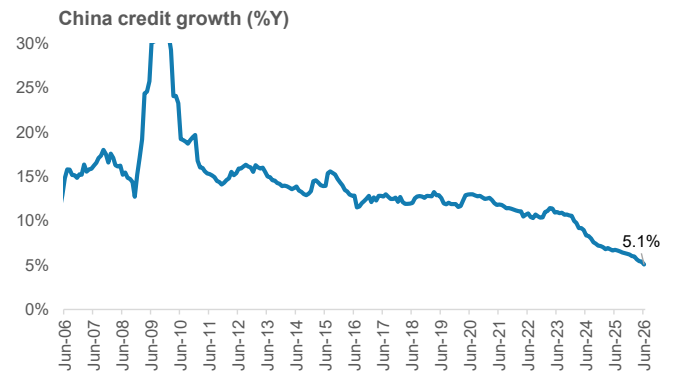
Source: CEIC, Haver, Morgan Stanley Research, Note: We calculate the Asia ex China aggregate by weighing it using nominal annual outstanding bank credit in USD terms.

Exhibit 4: Real bank credit growth (deflated by GDP deflator) is also at the highest since 2008



Source: CEIC, Haver, Morgan Stanley Research, Note: Real credit growth is calculated by adjusting nominal credit growth with the GDP deflator. For Korea and Taiwan, the 2025 average GDP deflator is used in Jan-May 26 as reported 1Q26 deflators were significantly boosted by a sharp rise in semiconductor price. For the remaining economies, the 1Q26 GDP deflator is used for Apr-26 and May-26 due to data availability issue. Credit growth is in local currency terms. We calculate the Asia ex China aggregate by weighing it using nominal annual outstanding bank credit in USD terms.

Exhibit 3: Meanwhile China, with its counter-cyclical growth model, is slowing leverage



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 5: Nominal industrial production growth has also risen to the highest levels since 2008 (excluding Covid base effects), adding to corporate credit demand



Source: CEIC, Haver, Morgan Stanley Research, Note: Nominal industrial production is calculated by adding PPI growth to real industrial production growth, For India WPI is used.

Which segments are growing?

Corporate sector credit demand is leading the cycle: To the extent that the current cycle has been primarily capex-driven so far, corporate credit demand has been growing faster than loans to households. Corporate loan growth has accelerated to the highest in 18 years. This is also as bank credit remains the largest source of debt funding for the corporate sector in Asia, as the corporate bond market is still not as mature as the US. According to [OECD](#), debt securities on average make up just 14% of total debt for non-financial firms in Asian economies.

Exhibit 6: Bank credit remains the largest source of debt funding for the corporate sector in Asia

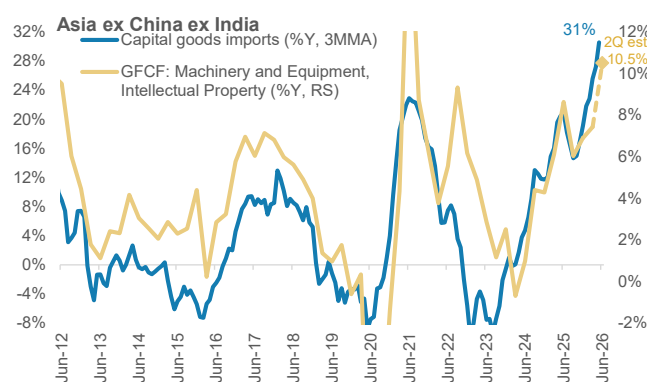
Figure 3.7. Composition of Asian non-financial companies' debt

The corporate sector is heavily bank-dependent in most Asian economies



Source: OECD Asia Capital Market Report, Morgan Stanley Research

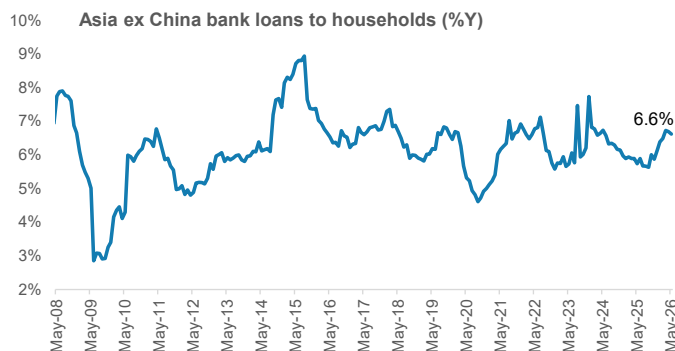
Exhibit 7: The industrial and capex super-cycle is driving corporate sector credit demand



Source: CEIC, Haver, Morgan Stanley Research estimate

Household lending also recovering: As positive spillover effects to labour market conditions from the export and capex cycles filter through, and as energy-related headwinds gradually ease, Asia ex China's consumption momentum has shown signs of improvement in recent months – led by India, Korea, Taiwan and to some extent Japan. Retail sales in Asia ex China ex India have averaged 4%Y year-to-date, vs. 2.8% in 2025, while India's vehicle registrations (a consumption proxy) continued to record double-digit growth in June. Consequently, household loan growth bottomed in Sep-25 at 5.6% and gradually improved to 6.6%Y in May-26, albeit still within the historical range.

Exhibit 8: Household loans are also recovering

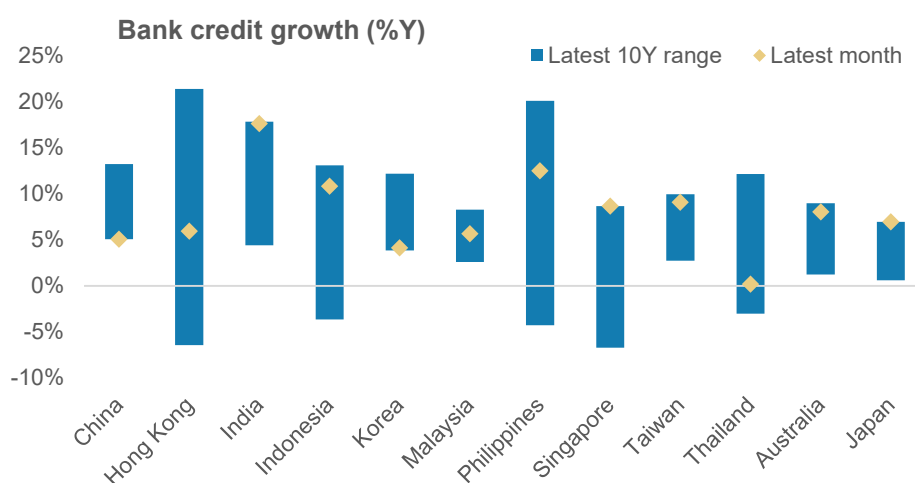


Source: CEIC, Haver, Morgan Stanley Research

Which Asia ex-China economies are showing the strongest growth?

Broad-based pickup across Asia ex-China: India, Japan, Singapore, Hong Kong, Australia and Taiwan have seen the biggest accelerations in loan growth. Korea has been an exception as corporate capex is largely funded from internal accruals. Thailand is the only economy in the group that has weak credit growth given an uneven expansion so far in which households have continued to delever.

Exhibit 9: A broad-based pickup in loan growth in Asia ex China



Source: CEIC, Haver, Morgan Stanley Research

India: The sustained strength in domestic demand conditions since 2H25, rising WPI in recent months and RBI's regulatory easing measures since 2025 have meant that credit growth has now accelerated to the strongest level since 2009–2012. The strength has been broad-based across segments, but with particular momentum driven by the corporate sector – which has picked up to 18.3%Y in May, the highest since 2012. Household loan growth has also sustained above 15%Y for the fourth consecutive month, in part also benefiting from the recovery in unsecured personal lending growth amid RBI regulatory easing (see [India Financials: Unsecured Personal Loan Growth Improved to 12% YoY in F4Q26](#) and [India – Banks: Tracking Credit Growth – May 2026](#)). Additionally, NBFCs retail loan growth has also strengthened to 19.5% YoY (vs. 14.9% in May 2025) (see [India Financials: Tracking NBFC Credit Growth – May 2026](#)). We expect overall credit demand to remain strong, supported by capex and exports growth, and household loan growth to be supported by housing and strength in discretionary consumption.

Japan: Loan growth has accelerated to a new high of 7%Y since 1999 (when we have available data). Within this, corporate loan growth has picked up meaningfully to 8.4%Y in May, pushing up overall loan growth. Going forward, our Japan financials analyst Mia Nagasaka continues to expect improving loan growth for Japanese banks as corporate capex demand, supply chain rebuilding and digital transformation spending contribute to firm demand for funds. She expects healthy asset content and ample reserve capacity will keep credit costs at manageable level (see [Japan: Continue to Favor Bank Stocks in](#)

Positive Cycle for Earnings and Returns).

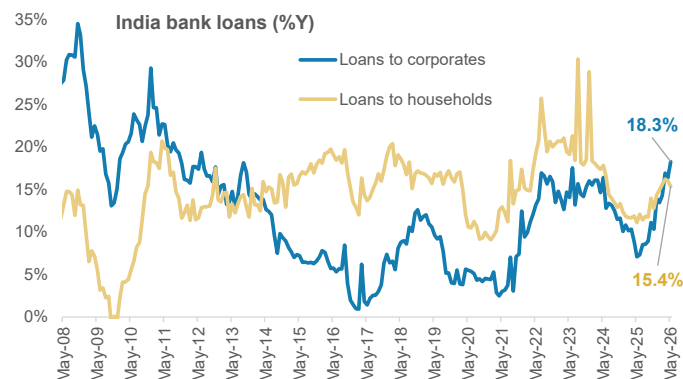
Korea: Korea's credit growth has remained soft. While capex growth is strong, it has largely been driven by large companies which have strong cashflows and hence this capex has been largely funded through internal accruals. At a macro level, Korea's strong export growth has lifted its current account surplus to 9.1% of GDP, the highest since 1998. Our Korea financials analyst Joon Seok notes that credit growth will continue to be primarily driven by the corporate sector, as household loan growth will be constrained by a policy which has set a [cap of 1.5%Y growth for loans to households](#).

Indonesia: Overall loan growth has been improving since the trough in Jul-25 but has remained broadly within the historical range. Of note, the key driver to improving loan growth has been investment loans. This in turn has been supported by loans provided to village cooperatives. In other words, lending is being supported by a policy push rather than by the private sector. Meanwhile, consumer loan growth has continued to decelerate amid weak sentiment. Given the lack of a private capex cycle, the pass-through of rate hikes as well as tight liquidity conditions, our Indonesia financials analyst Selvie Jusman expects loan growth to stabilise.

Australia: Overall loan growth has been strong at 8%Y in May, driven by loans to corporates growing at 9.5%Y and loans to households growing at 6.7%. However, given the large share of housing related loans in overall bank loans in Australia, the housing market outlook has a significant bearing on overall loan growth. In this context, our Australia economist Chris Read believes the tax changes to negative gearing and capital gains fundamentally shift the investment case for property in Australia. He expects a 5-10% decline in national house prices given headwinds from rates, taxes, and a slowing economy. As housing credit growth tends to lag prices by 6 months on average, it should slow with a delay. Our Australia banks analyst Richard Wiles expects system mortgage growth to slow to 3% in FY27, vs. 6% currently (see [Australia Banks: A Tough Day](#)).

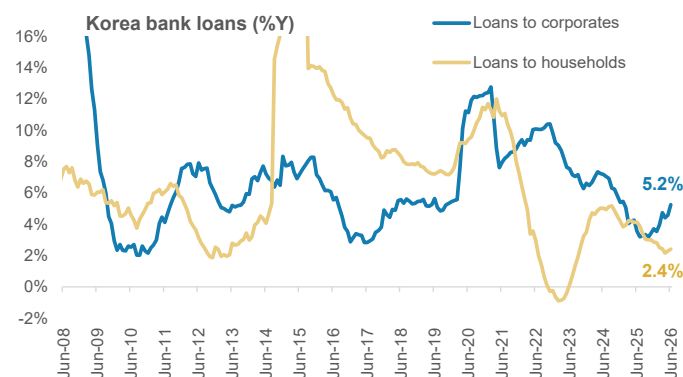
Hong Kong and Singapore: Loan growth in Hong Kong and Singapore is also picking up, and as our Hong Kong and ASEAN financials analyst Nick Lord notes, this has been driven by non-resident or cross-border lending. Corporate lending across multiple sectors has been consistently positive, confirming that robust capex and trade activities are likely the key drivers. In Hong Kong, our property analyst Praveen Choudhary sees the recovery of the market sustaining and broadening into office and retail. This should also be supportive of overall loan growth in 2H26.

Exhibit 10: Sustained strength in domestic demand, rising WPI and RBI's regulatory easing measures, have meant credit growth has accelerated to the strongest level since 2009–2012 on a broad base



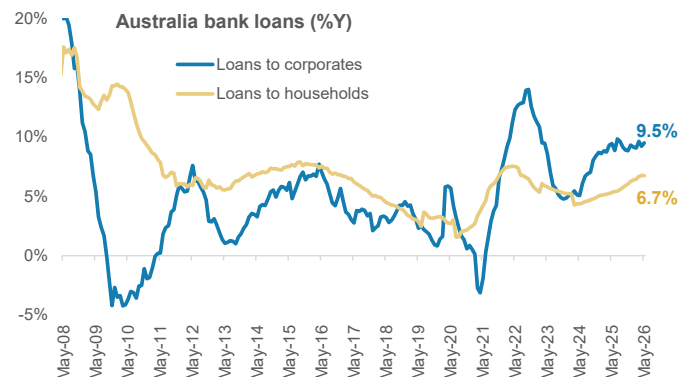
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 12: In Korea, corporate loan growth is recovering, while household loan growth is constrained by a loan growth cap of 1.5%Y



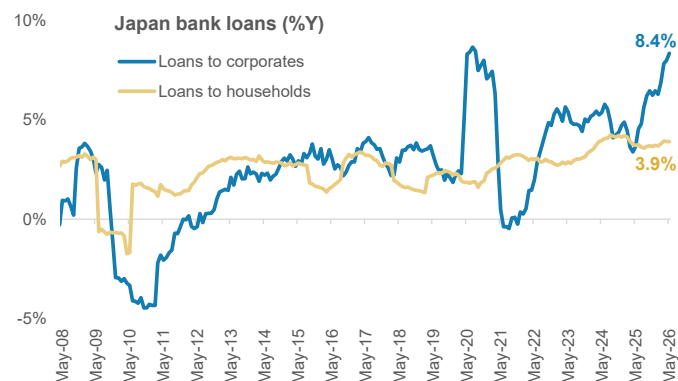
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 14: In Australia, housing tax policy changes will continue to weigh on overall loan growth



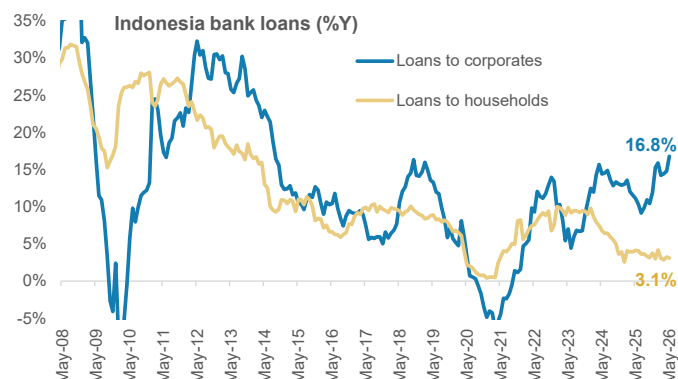
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 11: In Japan, corporate loan growth picked up to 8.4%Y in May, pushing up overall loan growth



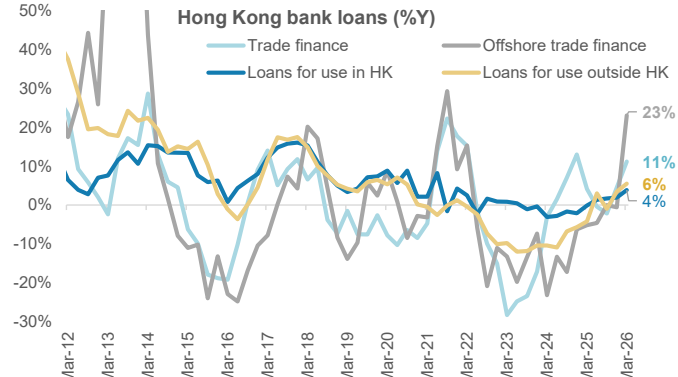
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 13: In Indonesia, loan growth acceleration has been driven by policy directives rather than private sector demand



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 15: Hong Kong loan growth has been driven more by trade financing and loans for use outside of Hong Kong



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 16: Similarly, loans to non-residents have been the bigger driver of headline loan growth in Singapore

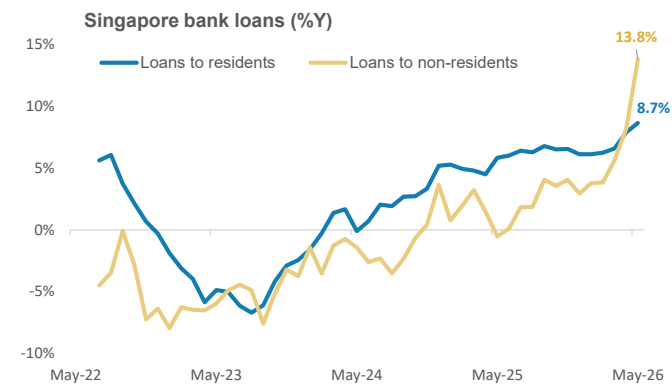
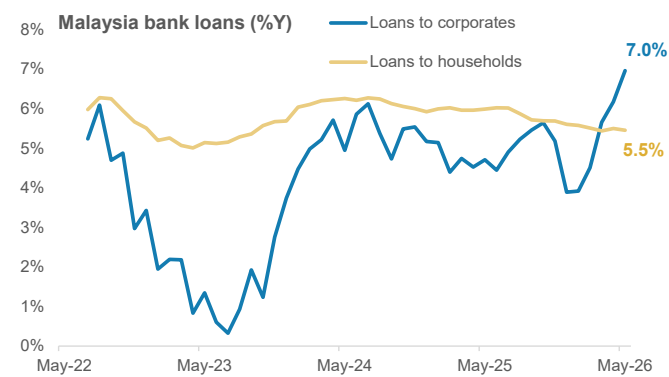


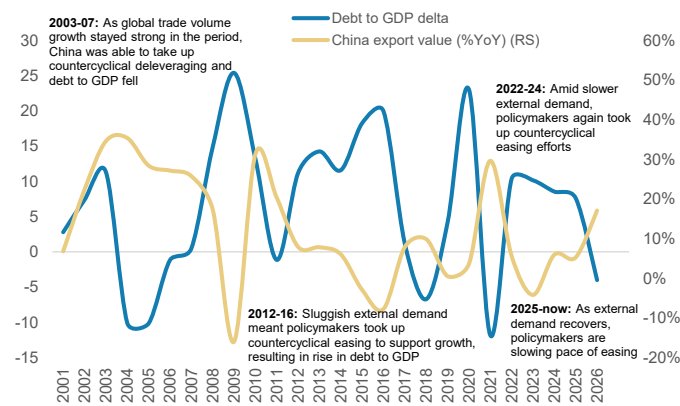
Exhibit 17: Strong growth in corporate credit in Malaysia



China – Why is credit growth decelerating?

Counter-cyclical growth model at play: Over the years China has been managing its growth model in a counter-cyclical manner, juxtaposed against the trend in exports. Moreover, the sharp rise in public debt as well as total debt since Covid has meant that policy-makers are keen to use the opportunity presented by the strength in exports to withdraw policy stimulus (i.e. cut leverage). Our China financials analyst Richard Xu notes that “the transition toward more sustainable debt growth remains underway”.

Exhibit 18: Households have led the loan growth slowdown, followed by a slowing in corporate loans



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 19: In China, the counter-cyclical growth model is leading to slowing credit growth



Source: CEIC, Haver, Morgan Stanley Research

Households led the slowdown, corporate sector following: China's overall loan growth has further decelerated from 6.2%Y in Dec-25 to 5.1% in Jun-26. This has also been mirrored in total social financing, which has decelerated from 8.5%Y to 7.5% over the same period. Within loans, the subdued property market has meant that mortgage loans have been the weakest segment. Moreover, given the disinflationary pressures and subdued momentum in wage growth, consumers have been cutting back on non-mortgage retail loans as well. Finally, industrial loan growth has been holding up better than household loan growth. Against this backdrop, as we expect export growth to stay strong while overall loan growth will likely remain slow but with a changing mix. The part of the loan growth which will be slow will be related to the property segments, but credit growth to high-growth segments – for instance AI and energy – and emerging frontiers in the manufacturing sector will remain relatively strong. For more on this theme, please see [China Musings: Politburo – Policy Preference: Tech Capex over Consumption](#), by our chief China economist Robin Xing.

Outlook

Multi-year capex super-cycle to sustain credit growth: We expect overall credit growth to stay strong, supported by the momentum in the ongoing capex super-cycle. While real activity will remain robust, we expect that there will be a natural moderation in nominal credit growth, as PPI inflation will likely move lower to account for the downward moves in oil prices. Moreover, we also expect consumer loans to pick up further as the recovery in non-tech capex and exports helps to support job creation.

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